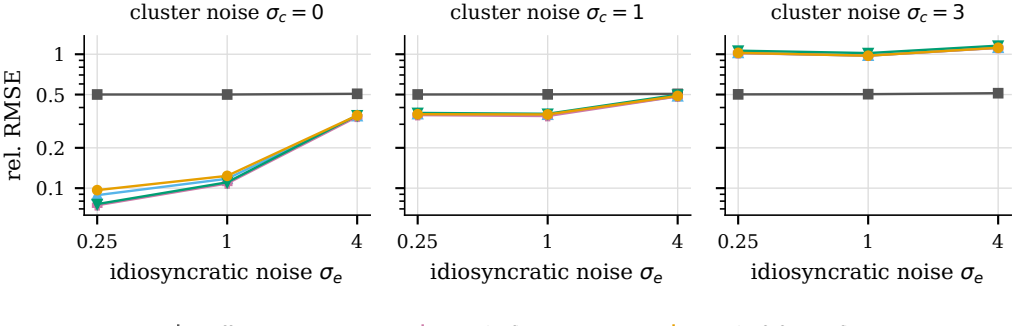
cluster noise $\sigma_c = 0$
cluster noise $\sigma_c = 1$
cluster noise $\sigma_c = 3$
rel. RMSE
1
0.5
0.2
0.1
0.25
1
4
idiosyncratic noise σ_e
Diff.-in-means
OLS(z, f) [Chin-type]
OLS(z, f) + covariates
OLS(z, f, degree int.)
OLS(z, f, f^2, z*f)